2023 Global Private Equity Report

BAIN & COMPANY

2022 was a **tale of two halves** in private equity industry

Deals and exits slowed down substantially in the second half of 2022

Average deal size fell by **over 20%**, as banks pulled back on large buyout lending

With **LPs squeezed for cash**, the biggest, **most experienced funds** are raising the most money

The current macro environment poses a range of significant challenges and continued uncertainty

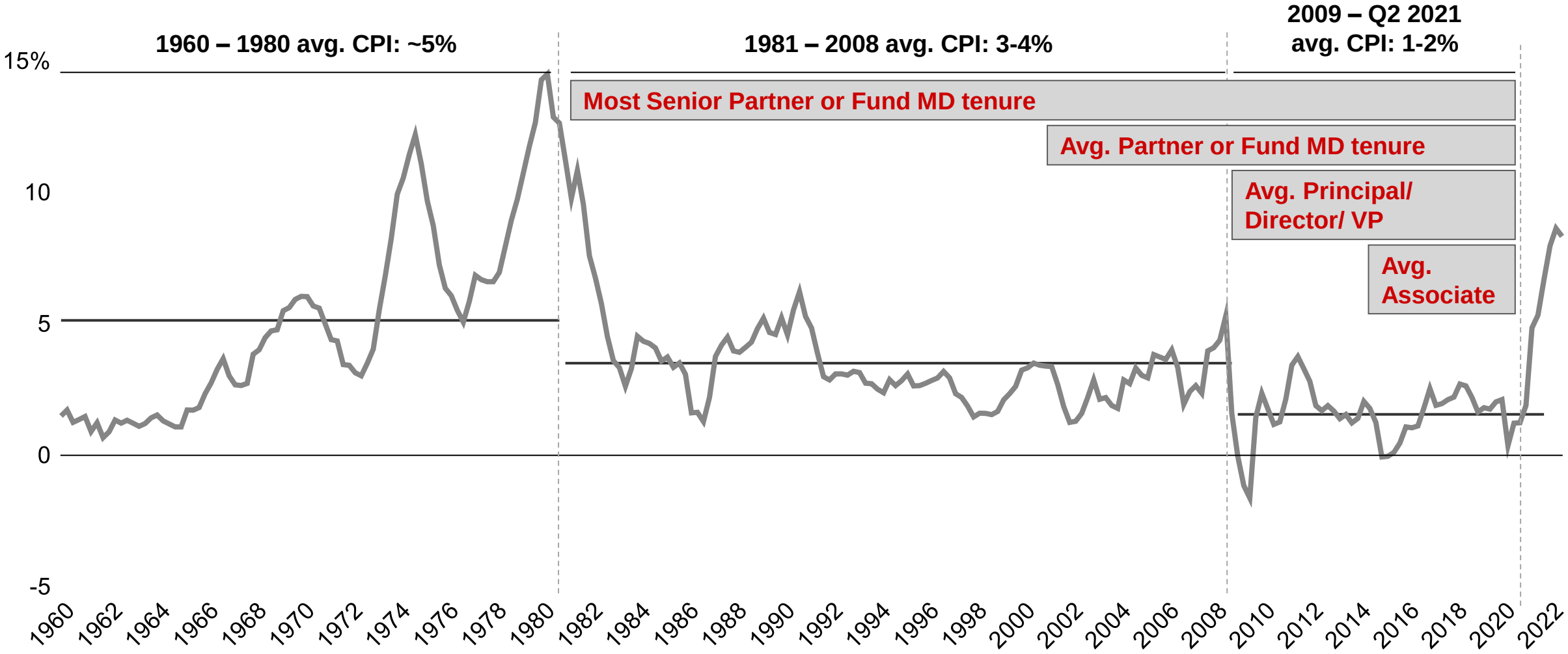
Trends underway

Potential for delayed impacts

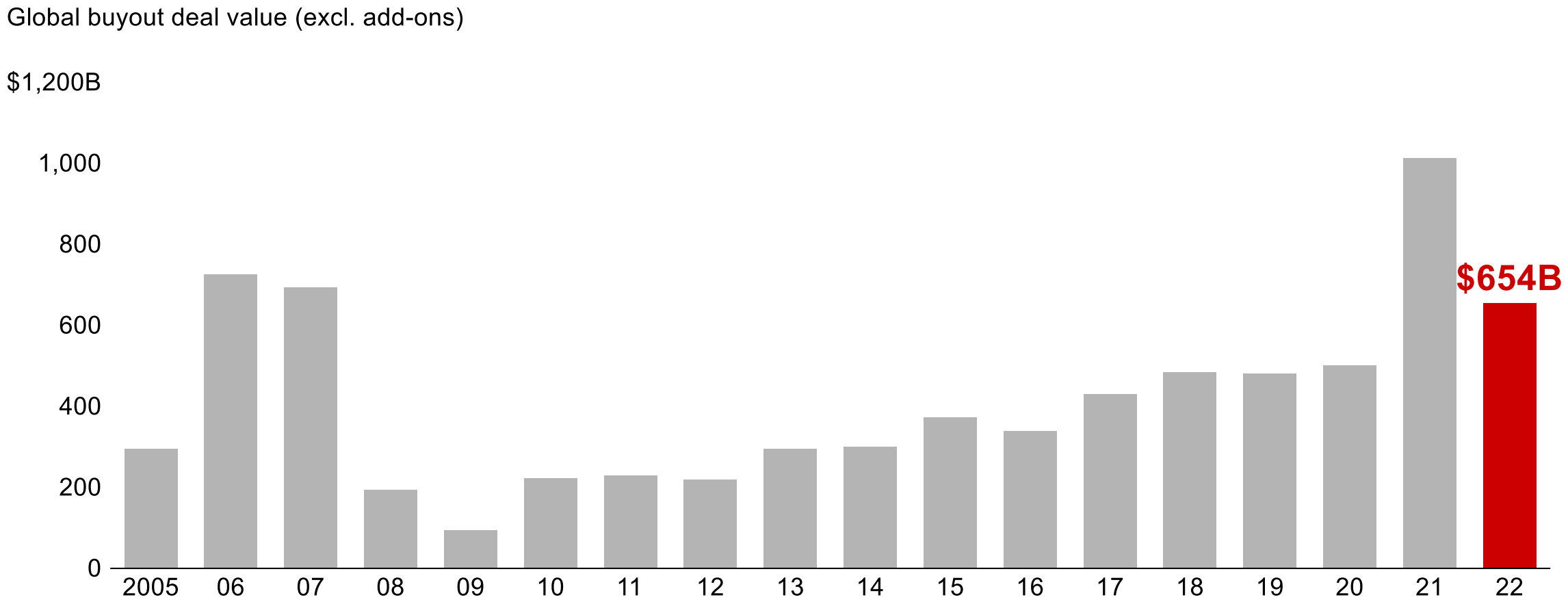
- Loss of Russia and Ukraine markets & assets
- Natural resource shortages
- Global food pricing and supply disruption
- Cascading supply shortfalls
- Mounting inflation & recession risks
- Financial market instability
- Real economy slowdown
- Technological disruption
- Geopolitical realignment

Few investors have invested through such challenging times

US CPI growth rate (all items, quarterly rolling annual % change)



Global buyout value dropped by more than a third in 2022 to $654B

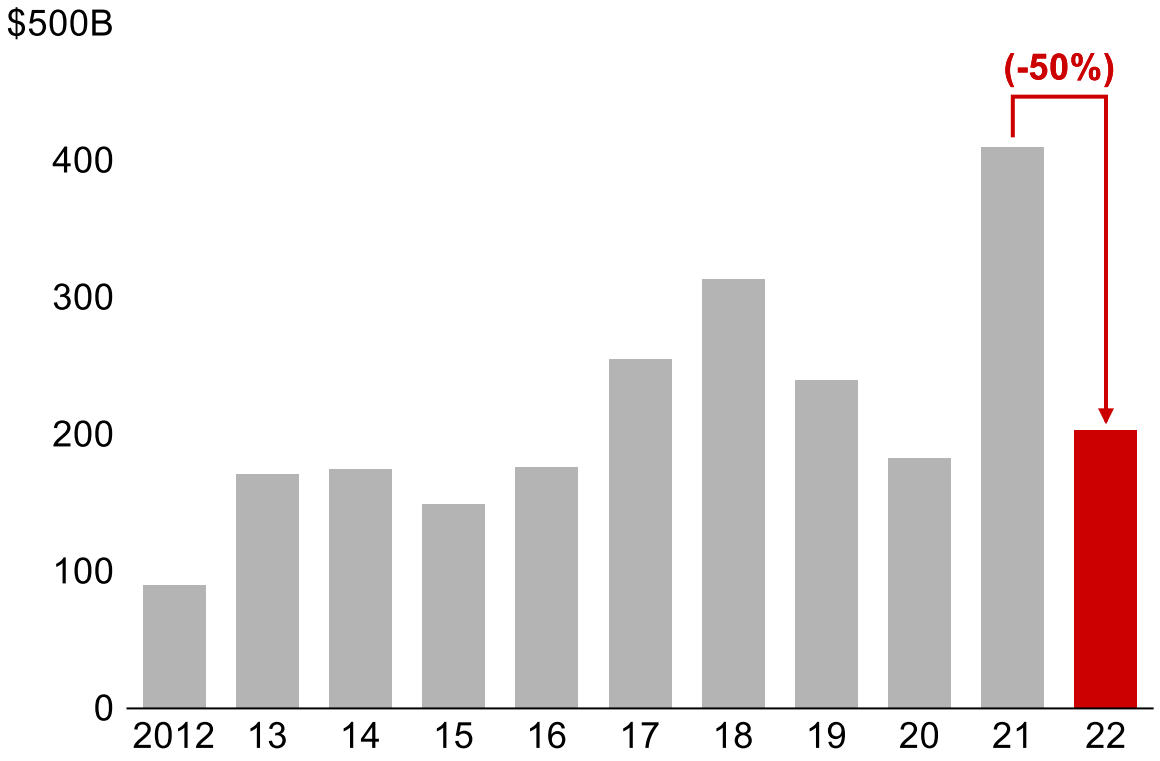


	2005	06	07	08	09	10	11	12	13	14	15	16	17	18	19	20	21	22
Avg. deal size $M	256	494	476	165	119	229	254	216	310	303	445	520	645	732	761	819	1,245	964

Banks pulled back and financing large deals became more challenging and costly

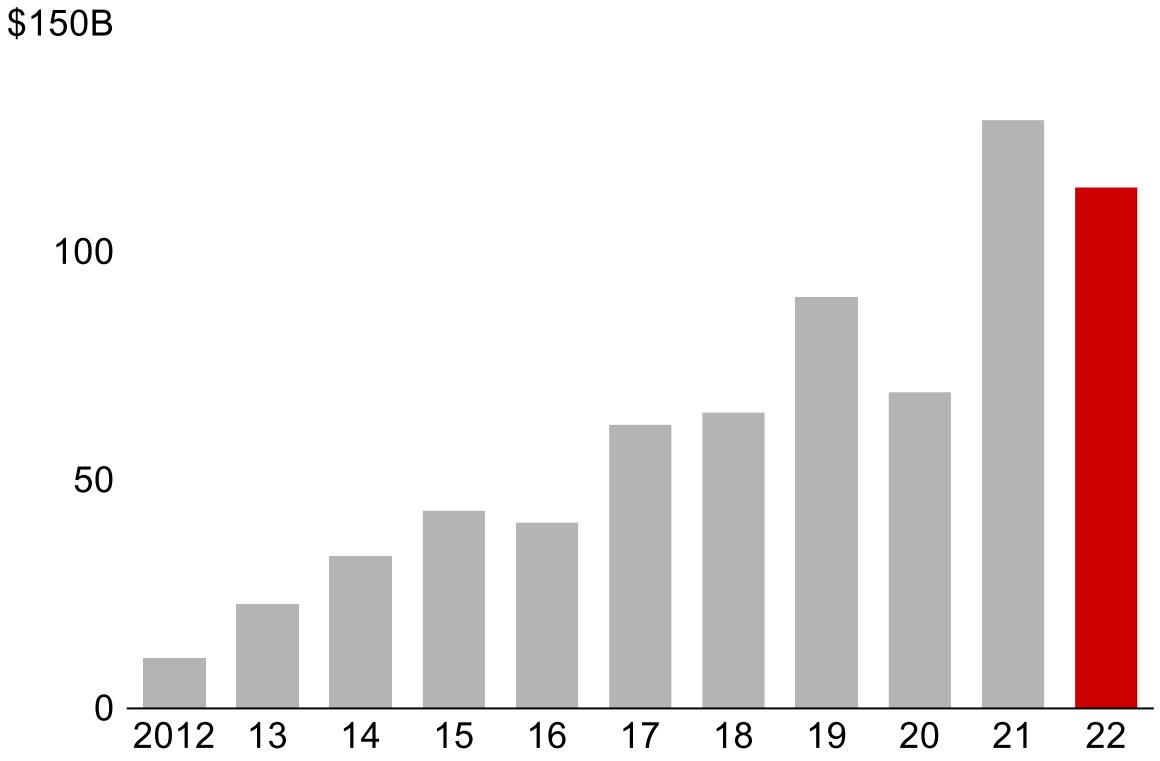
Total LBO loans issued declined across regions

Syndicated LBO loan issuance, US & Europe

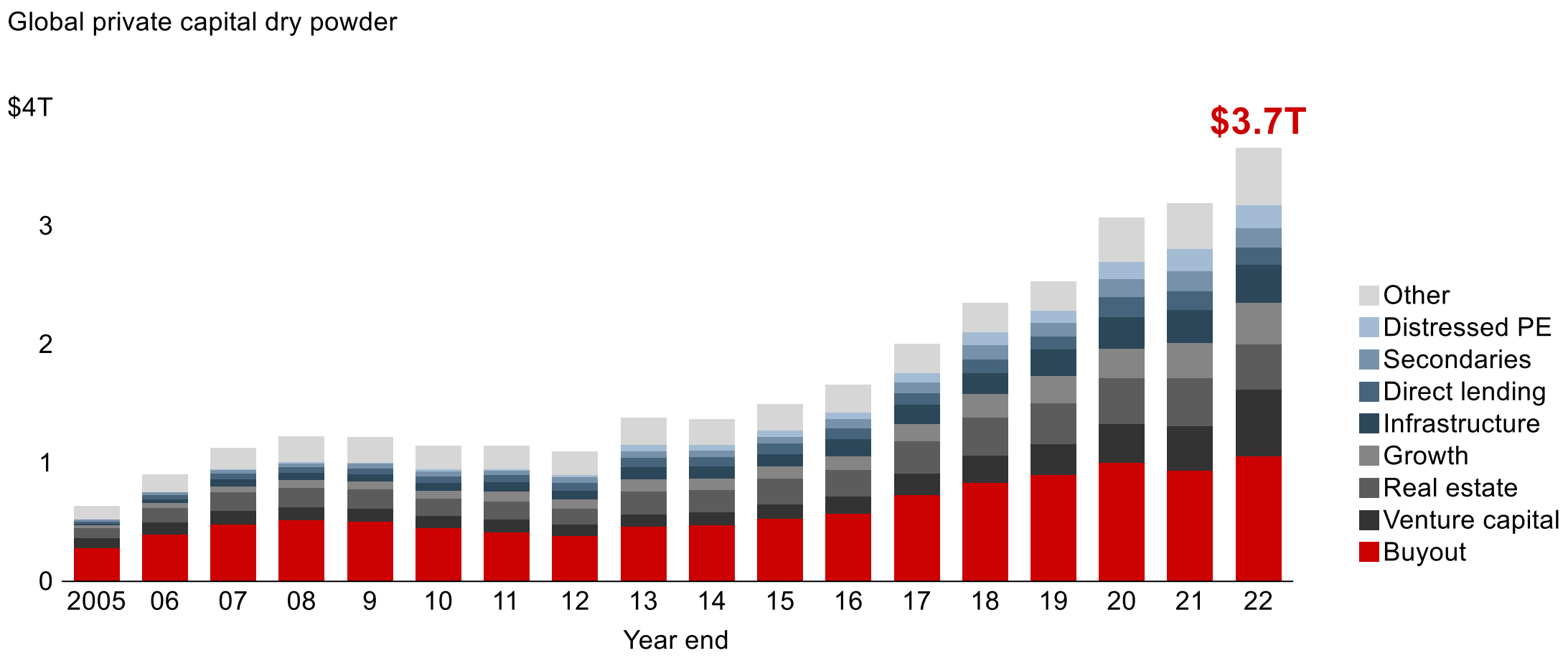


Meanwhile, direct lending has been growing

Global direct lending funds raised



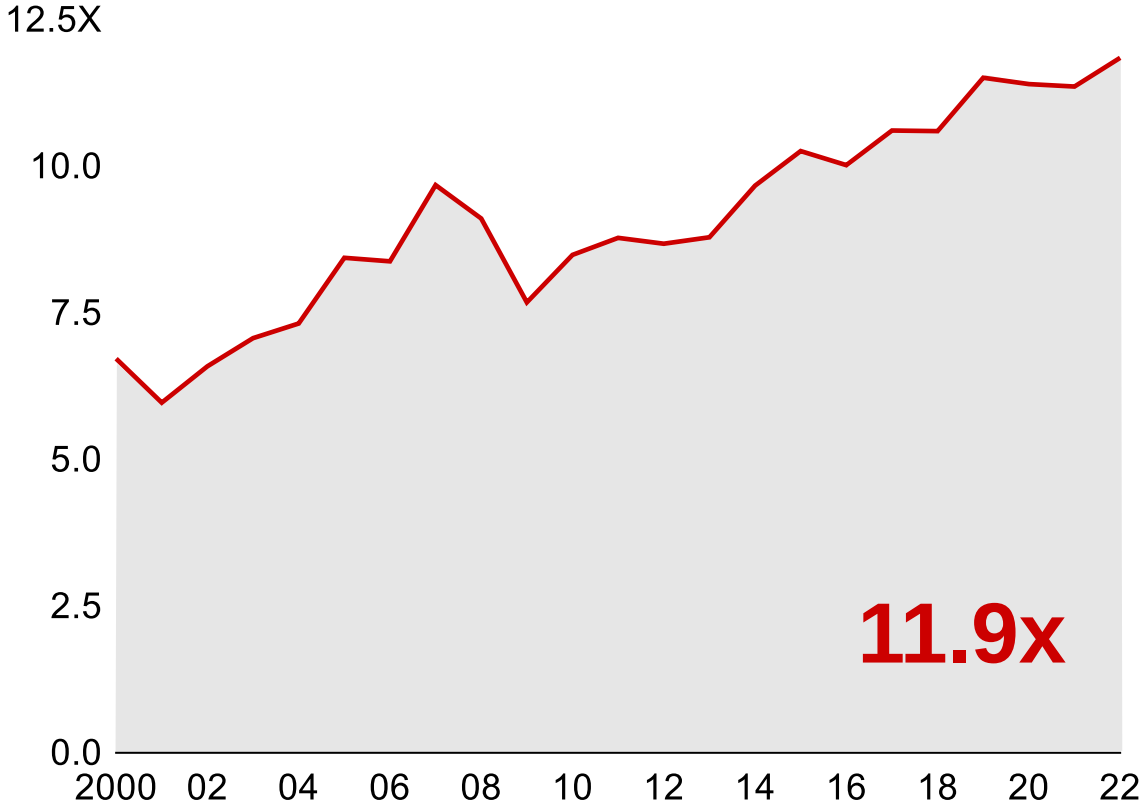
Global private capital dry powder continued to pile up and now sits at $3.7T



Assets that transacted tended to be high quality and heavily competed, average purchase price multiples did not come down meaningfully

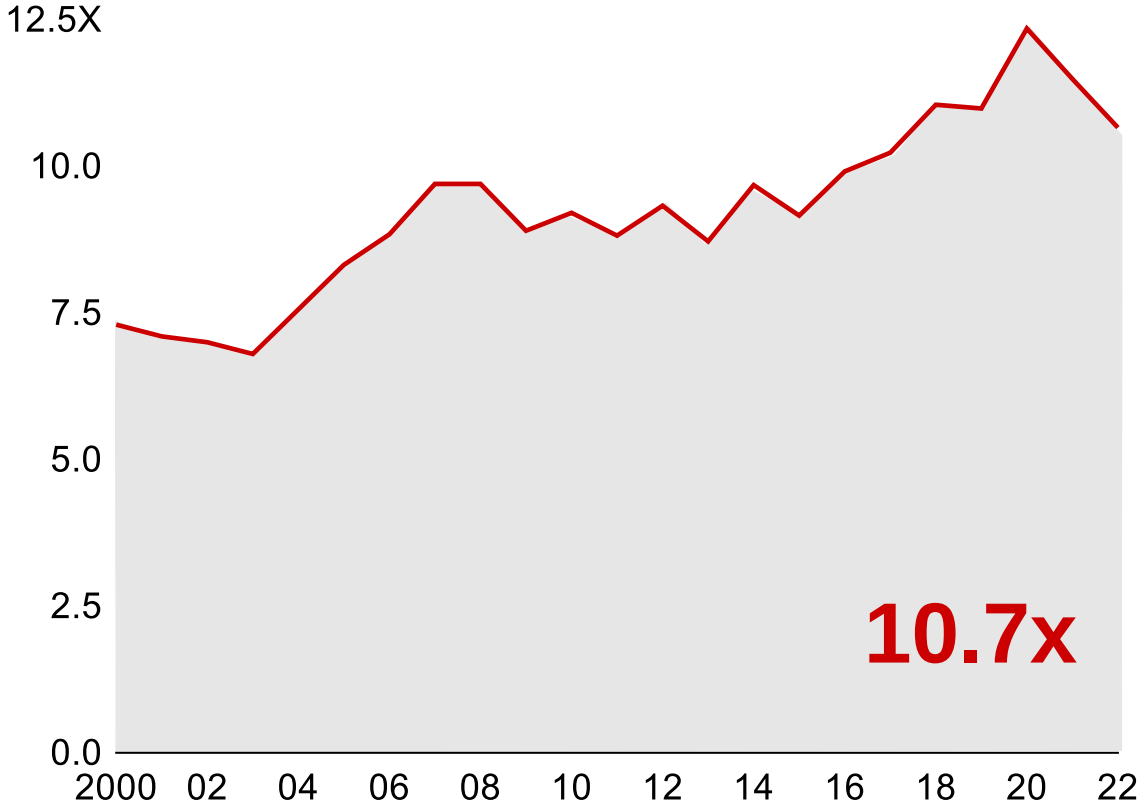
US

Average EBITDA purchase price multiple
for leveraged buyout transactions

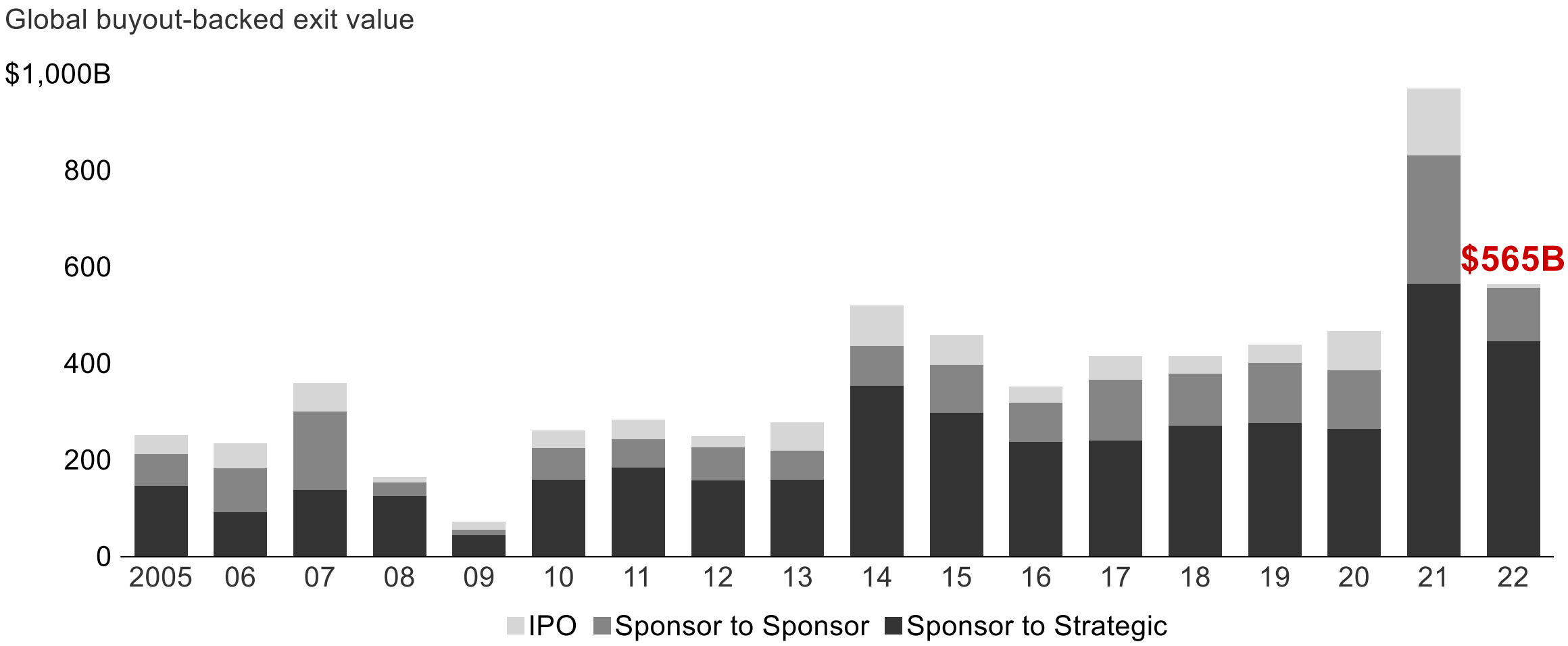


Europe

Average EBITDA purchase price multiple
for leveraged buyout transactions

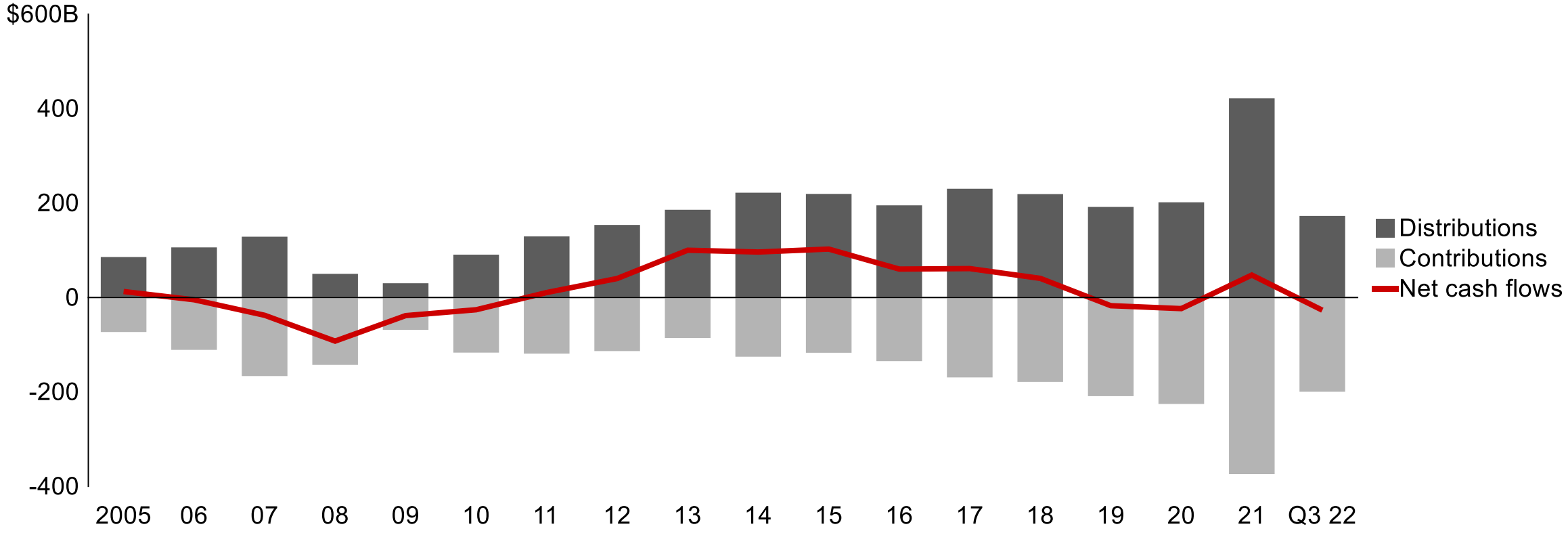


Buyout-backed exits fell sharply in 2022 across all channels



Distributions to LPs slowed dramatically, many turned cashflow negative

Global buyout fund capital contributions and distributions



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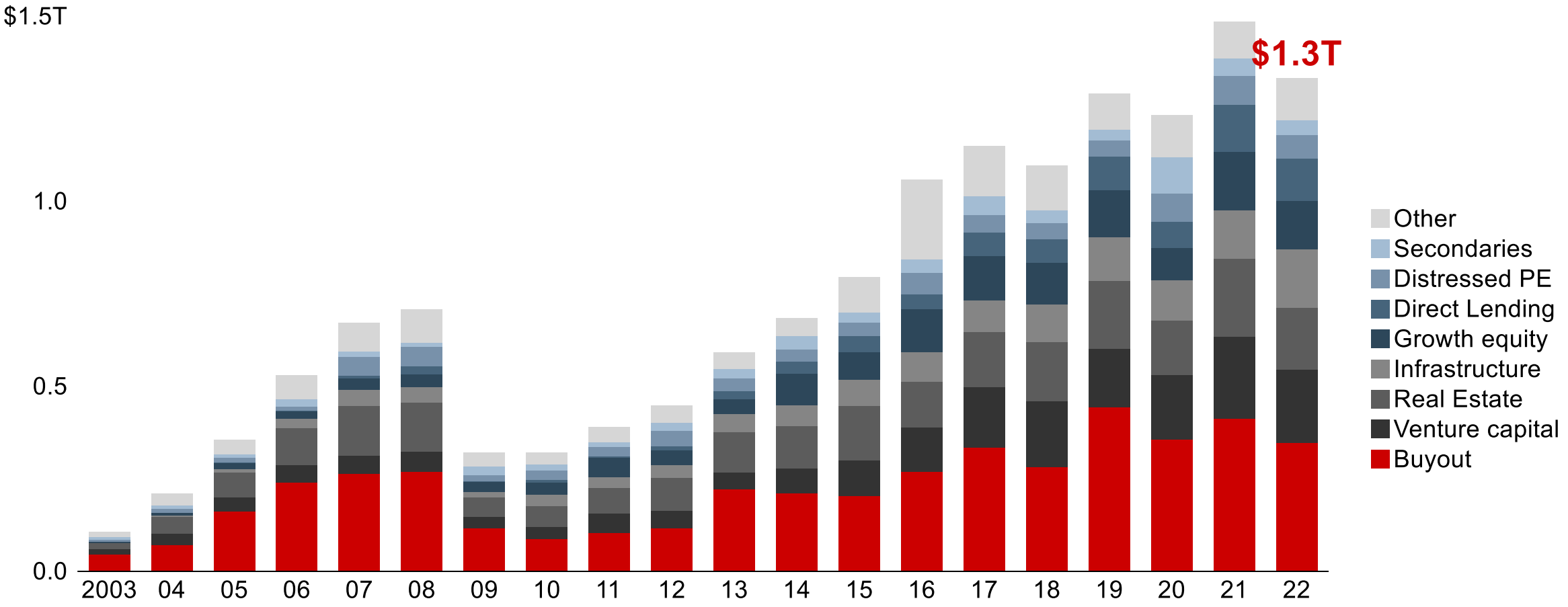
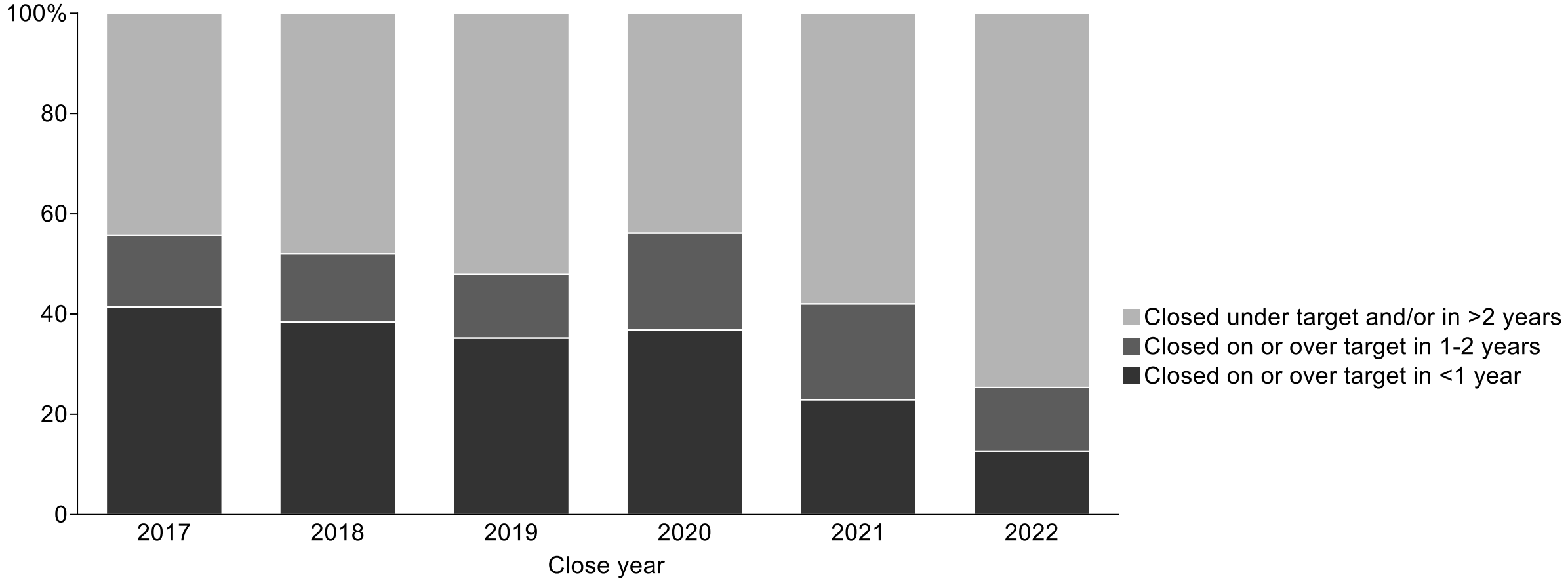
Fundraising became much harder over the course of 2022; the total raised last year does not reflect how difficult it is for funds on the road now

Global private capital raised



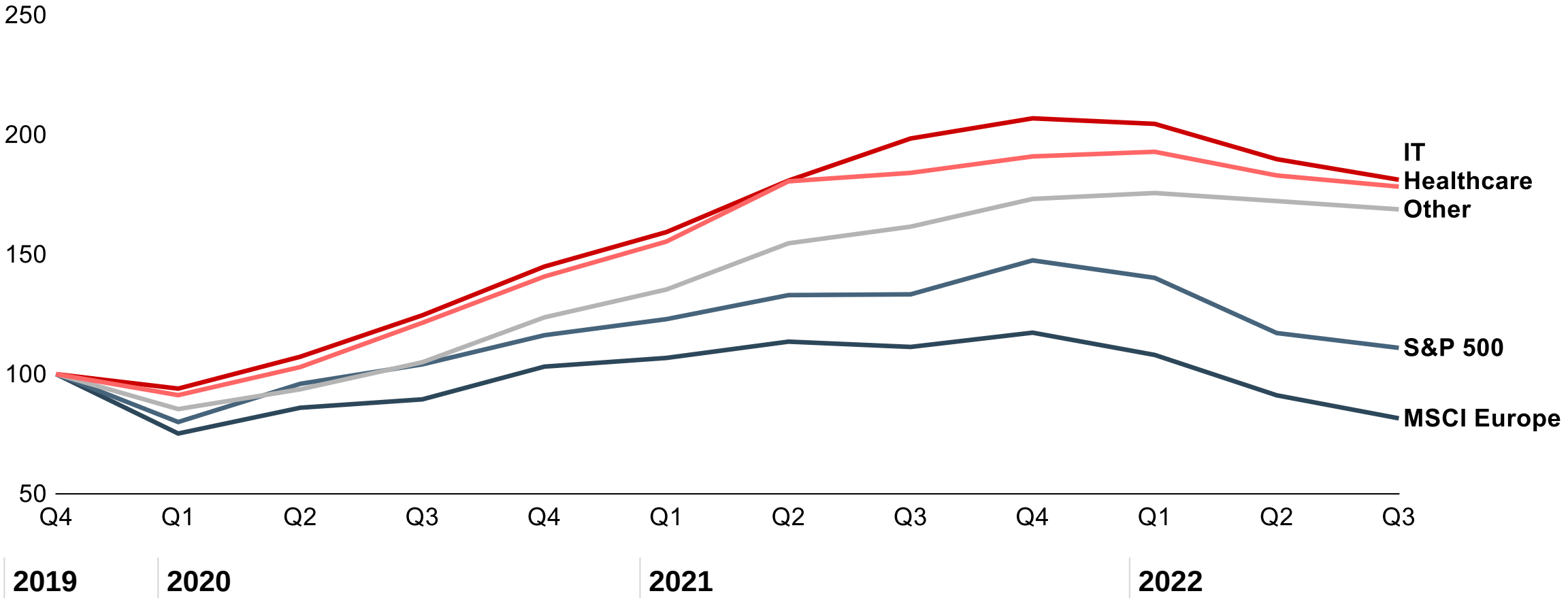
Despite headlines from big successful fundraisings, reality is most funds are on the road for more than a year or do not hit their target

Disribution of buyout funds closed by fundraising success, time and target achievement



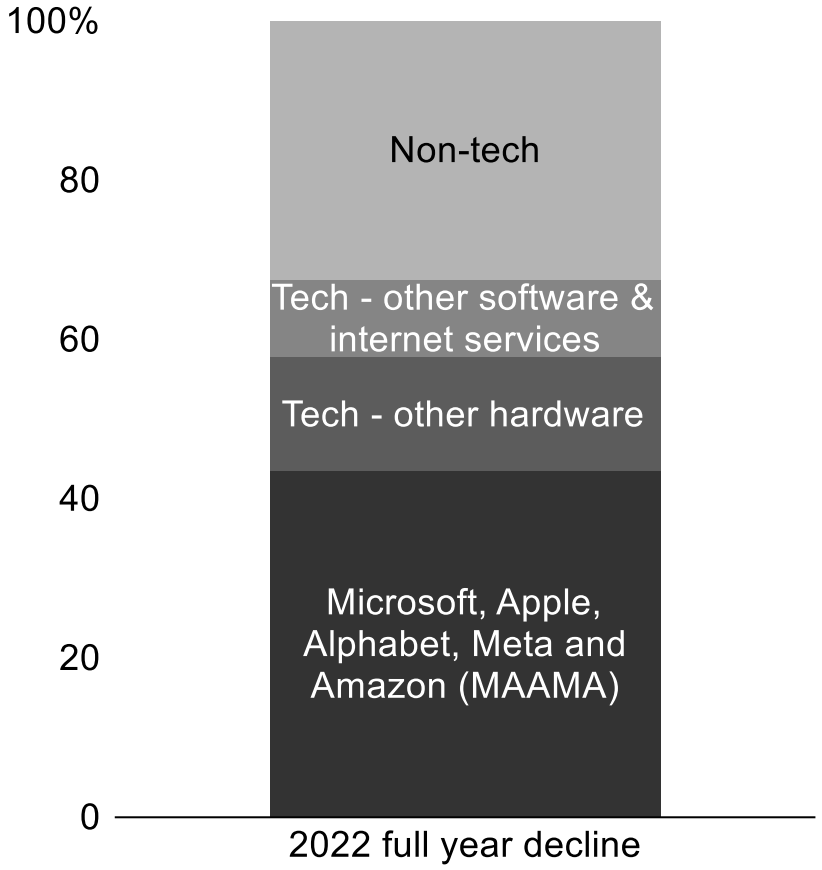
Yet, private and public company valuations have actually been diverging for some time – this is not a new phenomenon in 2022

Indexed valuation based on pooled return, global buyout-backed holdings (Q4 2019 = 100)



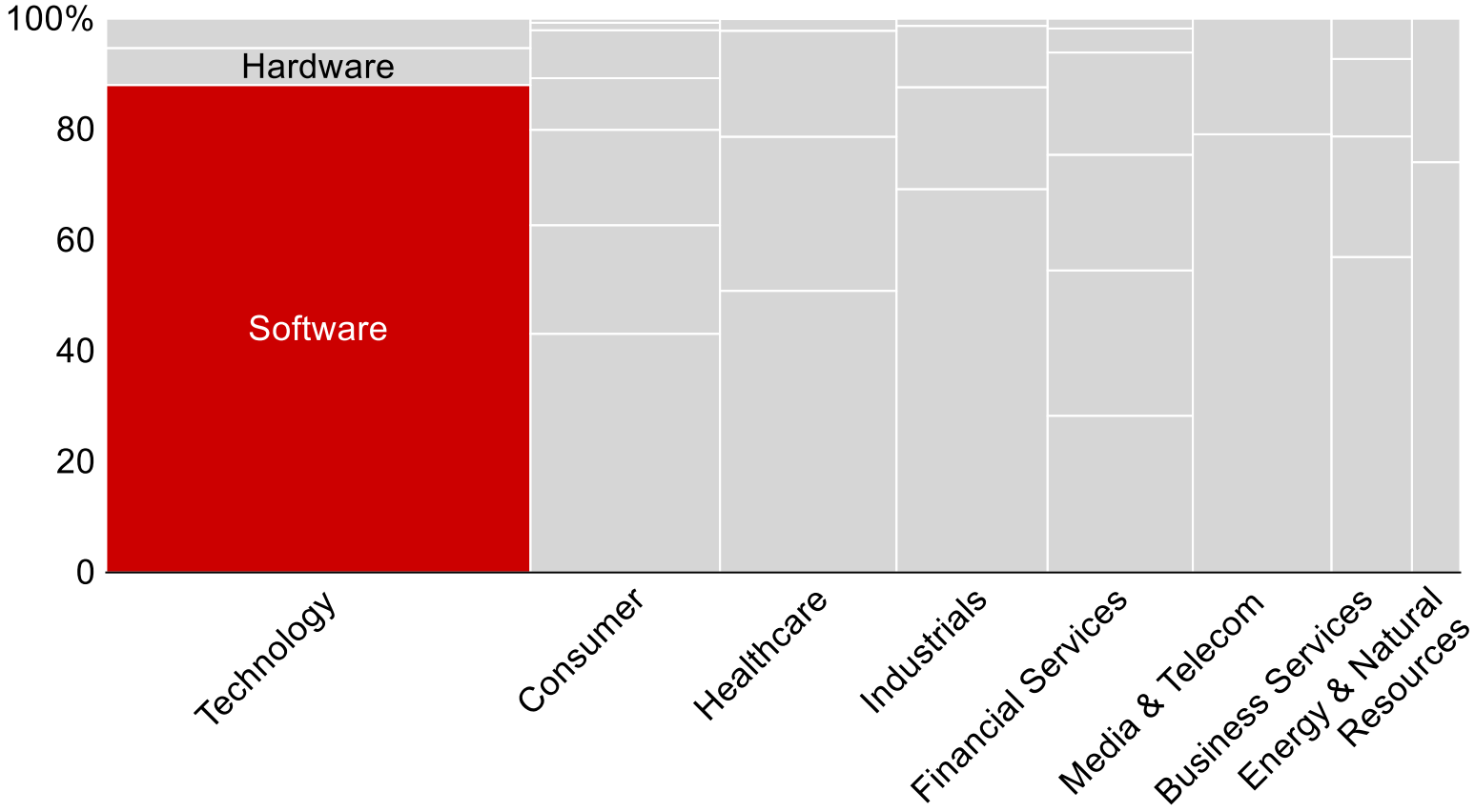
What is driving this? One big factor is the composition of PE portfolios – tech exposure in the public markets is very different from tech in private markets

Share of 2022 S&P500 market cap decline



Share of global buyout deal initial equity capital (2017-2022)

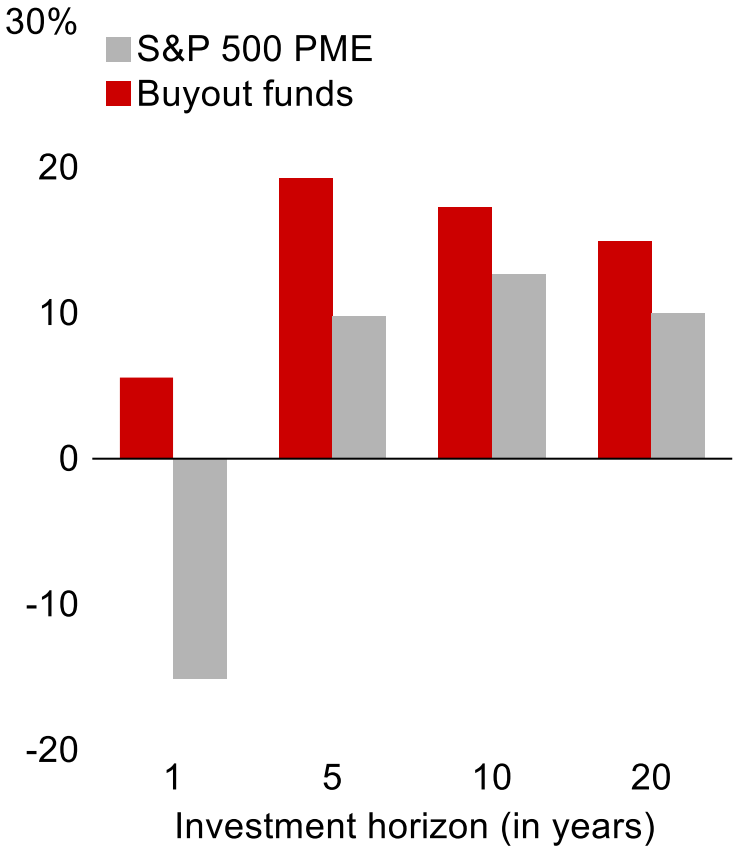
DealEdge®



Over time, private equity has consistently outperformed public markets

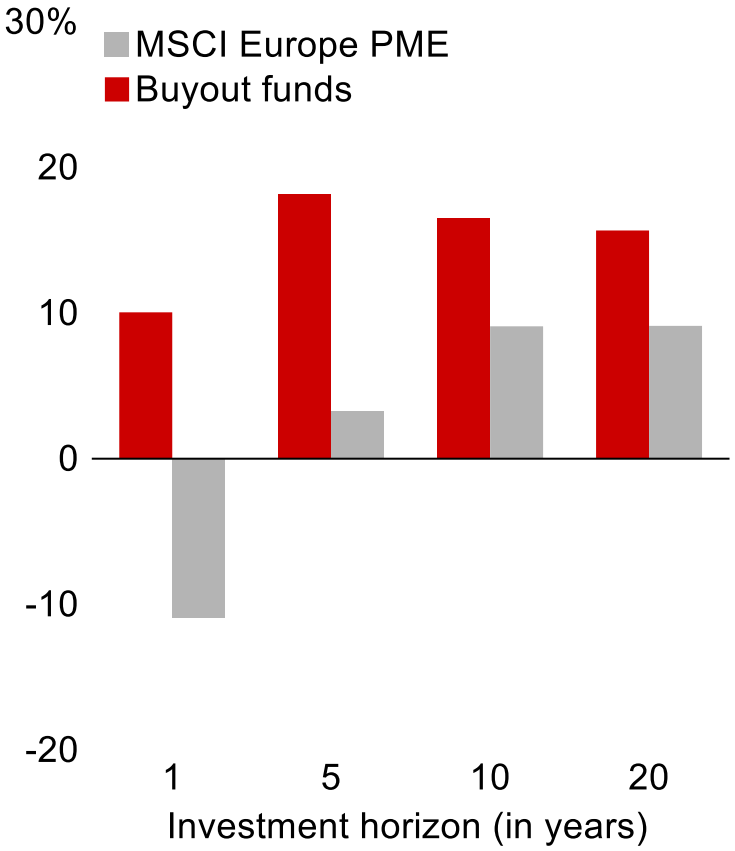
US

End-to-end pooled net IRR
(as of Q3 2022)



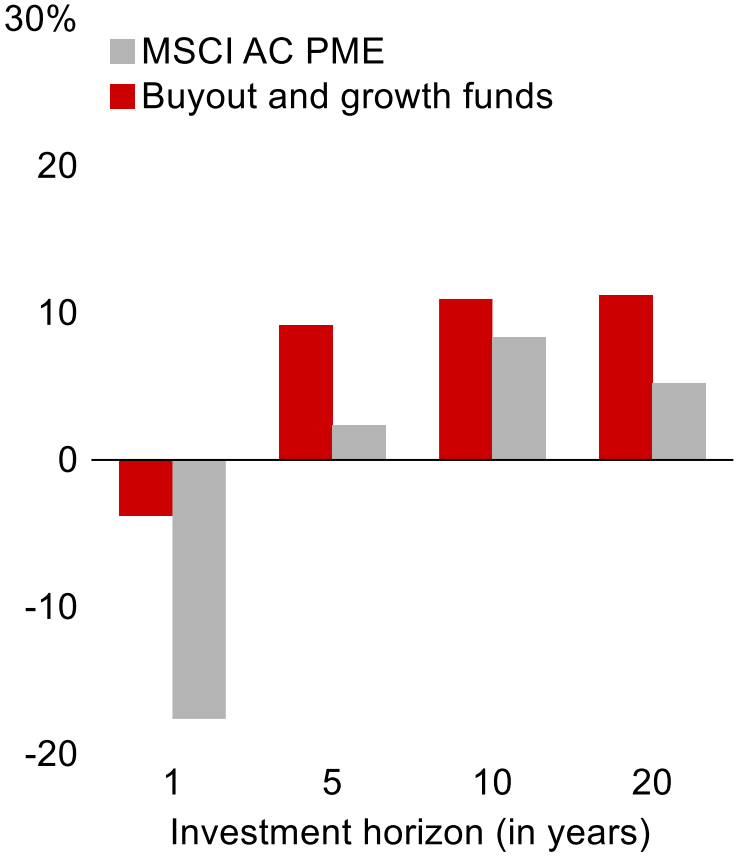
Western Europe

End-to-end pooled net IRR
(as of Q3 2022)



Asia-Pacific

End-to-end pooled net IRR
(as of Q3 2022)



Key trends in the industry

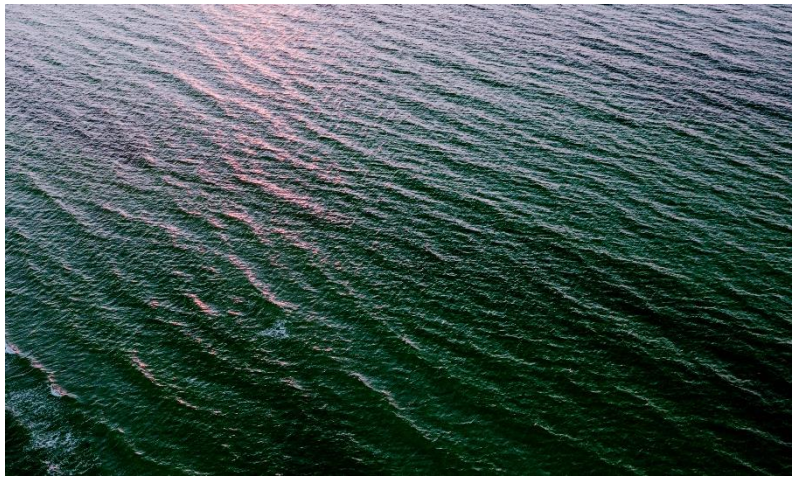
Retail investing

Individual investors hold half of all wealth globally. **Alternative asset managers are increasingly pursuing them** as institutional capital alone may no longer support their growth ambitions

Energy transition

The **energy transition** presents both a sizeable **investment opportunity** as well as an opportunity to become a leader in **decarbonization**

Web 3



Despite the hype and turmoil in the crypto world, **Web3 will reshape industries, profit pools and create efficiencies** in private capital markets

Q&A

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